



UNITED STATES
NUCLEAR REGULATORY COMMISSION
REGION III
2056 WESTINGS AVENUE, SUITE 400
NAPERVILLE, IL 60563-2657

July 22, 2025

Mike Mlynarek
Site Vice President
Holtec Decommissioning
International, LLC
Palisades Nuclear Plant
27780 Blue Star Memorial Highway
Covert, MI 49043-9530

SUBJECT: PALISADES NUCLEAR PLANT – BIENNIAL PROBLEM IDENTIFICATION
AND RESOLUTION INSPECTION REPORT 05000255/2025009

Dear Mike Mlynarek:

On June 27, 2025, the U.S. Nuclear Regulatory Commission (NRC) completed an inspection at the Palisades Nuclear Plant. The enclosed inspection report documents the inspection results, which the inspectors discussed on July 9, 2025, with yourself and other members of your staff.

No violations of more than minor significance were identified during this inspection.

On June 13, 2022, Palisades ceased permanent power operations and subsequently removed all fuel from the reactor, as detailed in the letter from Entergy to the NRC, "Certifications of Permanent Cessation of Power Operations and Permanent Removal of Fuel from the Reactor Vessel," (ADAMS Accession No. [ML22164A067](#)). On September 28, 2023, Holtec Decommissioning International, LLC (Holtec) submitted a letter to the NRC requesting exemptions from certain portions of the requirements of Title 10 of the *Code of Federal Regulations* (10 CFR) 50.82(a)(2) to pursue the potential reauthorization of power operations at Palisades (ADAMS Accession No. [ML23271A140](#)). The NRC's initial acceptance to review Palisades' request for exemptions was documented in ADAMS at Accession No. [ML23291A440](#) on November 3, 2023.

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,

A handwritten signature in cursive script that reads "April M. Nguyen".

Signed by Nguyen, April
on 07/22/25

April Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Docket No. 05000255
License No. DPR-20

Enclosure:
As stated

cc w/ encl: Distribution via LISTSERV®

Letter to Mike Mlynarek from April Nguyen dated July 22, 2025.

SUBJECT: PALISADES NUCLEAR PLANT – BIENNIAL PROBLEM IDENTIFICATION
AND RESOLUTION INSPECTION REPORT 05000255/2025009

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U.S. NUCLEAR REGULATORY COMMISSION
Inspection Report

Docket Numbers: 05000255

License Numbers: DPR-20

Report Numbers: 05000255/2025009

Enterprise Identifiers: I-2025-009-0000

Licensee: Holtec Decommissioning International, LLC

Facility: Palisades Nuclear Plant

Location: Covert, MI

Inspection Dates: June 09, 2025, to June 27, 2025

Inspectors: M. Keefe-Forsyth, Safety Culture Program Manager
D. Lanyi, Senior Operations Engineer
S. Obadina, Reactor Operations Engineer
G. Stock, Reactor Operations Engineer (Observer)
D. Willis, Allegation Team Leader, Office of Enforcement
J. Winslow, Senior Project Engineer

Approved By: April M. Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Enclosure

SUMMARY

The U.S. Nuclear Regulatory Commission (NRC) continued monitoring the licensee's performance by conducting a biennial problem identification and resolution inspection at Palisades Nuclear Plant, in accordance with Inspection Manual Chapter 2562, "Light-Water Reactor Inspection Program for Restart of Reactor Facilities following Permanent Cessation of Power Operations."

List of Findings and Violations

None.

Additional Tracking Items

None.

INSPECTION SCOPES

Inspections were conducted using the appropriate portions of the referenced inspection procedures (IPs) in effect at the beginning of the inspection unless otherwise noted. Currently approved IPs with their attached revision histories are located on the public website at <https://www.nrc.gov/reading-rm/doc-collections/insp-manual/inspection-procedure/index.html>.

OTHER ACTIVITIES

71152 - Problem Identification and Resolution

Biennial Team Inspection (IP Section 03.04)

The inspectors performed an assessment of the effectiveness of the licensee's Problem Identification and Resolution program, use of operating experience, self-assessments and audits, and safety-conscious work environment.

INSPECTION RESULTS

Assessment	71152
Corrective Action Program Effectiveness	
The inspectors assessed the effectiveness of the license's Problem Identification and Resolution program in identifying, prioritizing, evaluating, and correcting problems. Based on the samples reviewed, the inspectors concluded that the licensee's implementation of the Corrective Action Program (CAP) was generally effective and supported nuclear safety.	
<u>Problem Identification</u>	
Based on the items reviewed, the inspectors concluded that the licensee identifies issues at a low threshold and appropriately enters these issues into the CAP. The inspectors determined that the licensee usually enters problems into the CAP completely and accurately. The licensee reviews CAP data for issue trending. However, due to the lower number of issue reports in the CAP, most trends are identified through cognitive trending.	
The inspectors performed a 5-year review of the component cooling water system. As part of this review, the inspectors reviewed the system return to service plan, walked down the system, and reviewed selective corrective actions and condition evaluation documents.	
<u>Problem Prioritization and Evaluation</u>	
Based on the items reviewed, the inspectors determined that the licensee was generally effective at prioritizing and thoroughly evaluating issues commensurate with the safety significance of the identified problem. The Issue Report Screening Committee and the Management Review Committee meetings were generally thorough and intrusive in reviewing issues and prioritizing actions. In addition, the inspectors observed a healthy dialogue between the members of these committees. The members were engaged and challenged each other when dispositioning issues.	

The inspectors reviewed the apparent cause evaluation (ACE) associated issue report PAL-03752, Palisades Steam Generator Tube Inspection and Repair. It was noted that, contrary to RA-102, Corrective Action Program, section 3.4, the ACE did not include an extent of condition review. The licensee identified this gap during performance of their Biennial Problem Identification and Resolution Inspection Self-Assessment, where several ACEs did not include an extent of condition. The trend was entered into the CAP as Issue Report (IR) PAL-07331 and the licensee is implementing corrective actions. The inspectors did not identify any additional concerns in this area.

Corrective Actions

Based on the items reviewed, the inspectors determined that the licensee was generally effective in corrective action implementation. In general, corrective actions for deficiencies that were safety significant were implemented in a timely manner.

The inspectors noted that the licensee identified a trend in unsatisfactory closure of corrective actions. Specifically, the trend identified instances where corrective actions were not performed as prescribed and objective evidence of closure was not provided. The licensee performed a performance analysis of the trend and corrective actions are planned.

Assessment	71152
Use of Operating Experience	
The inspectors assessed the effectiveness of the licensee's process for use of operating experience. The inspectors noted that the licensee reviewed industry and NRC operating experience information for applicability to the station. Operating experience lessons learned were communicated and incorporated into plant operations. However, full implementation of the licensee's operating experience program, including the program procedures, is planned for later in the restart process and the inspectors could not fully assess the implementation of operating experience as part of this inspection. The NRC resident inspectors will assess full implementation of the operating experience program as part of their routine CAP reviews.	

Assessment	71152
Self-Assessments and Audits	
The inspectors assessed the effectiveness of the licensee's identification and correction of problems identified through audits and self-assessments. The inspectors determined that the licensee's self-assessments and audits were generally effective. The licensee conducted self-assessments and quality assurance audits throughout the organization. These assessments and audits were generally effective in identifying issues and opportunities for improvement at an appropriate threshold. Deficiencies identified in the licensee's processes were addressed through the CAP. The inspectors noted that a quality assurance audit of the CAP identified the program elements of identification and evaluation as unsatisfactory. Deficiencies were identified during the Biennial Problem Identification and Resolution Inspection Self-Assessment and the quality assurance CAP audit and entered into the CAP process. The inspectors did not identify any additional concerns in this area.	

Assessment	71152
Safety Culture and Safety-Conscious Work Environment The inspectors assessed the effectiveness of the station's programs to establish and maintain a safety-conscious work environment. During this assessment, the inspectors conducted focus groups and interviews of over 90 individuals in multiple departments including Operations, Security, Maintenance, Radiation Protection, Chemistry, and Engineering. In addition, the team reviewed documents associated with Safety Culture survey results and procedures associated with the Employee Concerns Program (ECP). The team observed a Nuclear Safety Culture Monitoring Panel meeting and found it to be aligned with the site's procedure and the NEI 09-07 "Fostering a Healthy Nuclear Safety Culture" guidance. The team observed the panel members engaging in robust dialogue and self-assessment during the meeting. They asked each other thoughtful, probing questions to understand the safety culture related information being discussed. Based on interviews, the inspectors determined that the licensee has maintained a safety-conscious work environment (SCWE) where personnel feel free to raise safety concerns without fear of retaliation, intimidation, harassment, or discrimination. All staff interviewed stated that they would not hesitate to raise nuclear safety and security concerns through multiple avenues including supervisors and managers, and the CAP. The inspectors found that personnel indicated they were aware of the ECP, knew who managed it, and how to get in touch with that manager. The inspectors determined that trust seems to permeate the work environment from the top down, and that no one had concerns about retaliatory behavior for raising issues.	

EXIT MEETINGS AND DEBRIEFS

The inspectors verified no proprietary information was retained or documented in this report.

- On July 9, 2025, the inspectors presented the inspection results to M. Mlynarek, Site Vice President, and other members of the licensee staff.

DOCUMENTS REVIEWED

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
71152	Corrective Action Documents	PAL-01475	Calculation Missing from Plant Records	10/24/2023
		PAL-01683	Engineering Change Needed for Part 21 on Battery Chargers	01/09/2024
		PAL-02004	Replace Station Batteries ED-01 and ED-02	03/26/2024
		PAL-02204	Evaluate Installation of Control Switch Robust Barriers	05/03/2024
		PAL-02207	NSRB Identified Water Near 'A' 4160V Bus	05/03/2024
		PAL-02520	Steam Generators E-50A and E-50B Layup Since 2022	06/20/2024
		PAL-03260	Foreign Material Exclusion (FME)	09/16/2024
		PAL-03433	M&TE Quality Control Code	10/02/2024
		PAL-03672	Corrosion Build-Up and Evidence of Leakage on CV-0946	10/18/2024
		PAL-03673	Tripping Hazard in CCW Room Due to Elevated Epoxy Coating	10/18/2024
		PAL-03674	Unknown Leakage/Discharge Found in T-3 CCW Surge Tank Room	10/18/2024
		PAL-03752	Palisades Steam Generator Tube Inspection and Repair	10/22/2024
		PAL-03759	K-6A, EDG 1-1 Exhaust and Lube Oil Leak	10/22/2024
		PAL-03945	P-54B, Containment Spray Pump, Leaks Oil	10/31/2024
		PAL-04949	NRC Identified - L-3 (Spent Fuel Pool Crane) Readings	01/16/2025
		PAL-05012	Expand the EOC Regarding M&TE	01/20/2025
		PAL-05083	IER L2-12-14, Automatic Reactor Scram Resulting from a Design Vulnerability in the 4.16kV bus	01/23/2025
		PAL-05586	Multiple CAs Were Identified as Being Closed Without Quality	02/20/2025
		PAL-05756	Adverse Trend in Foreign Material in Spent Fuel Pool	03/03/2025
		PAL-06115	Trend in Accredited Training Program Exam Security	03/24/2025
		PAL-06172	Maintenance / Work Management Assignment PAL-05161-02 is Missing Closure Notes and an Attachment	03/27/2025
	Corrective Action Documents Resulting from Inspection	PAL-07759	NRC Identified: IR Voided Without Explanation	06/12/2025
		PAL-08024	NRC Identified: OPS610 References Old Procedure	06/24/2025
		PAL-08034	NRC Observation: Deficiencies in Signage vs. Logbook	06/25/2025
		PAL-08043	NRC Observation: Housekeeping Issues	06/25/2025
	Engineering	EC 86357	Installation of Temporary Shaft Packing Gland Support for	0

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
	Changes		Manual Actuator Side of CV-0944A (Cooling Water to SFP & RW Evaporators)	
	Miscellaneous		Management Review Committee (MRC) Screening Packages	Various
			Issue Report (IR) Screening Committee Packages	Various
			System Return to Service Plan – Component Cooling Water System	0
			USA Alliance 2024 Holtec Palisades Nuclear Station Nuclear Safety Culture Assessment Survey	November 2024
	Procedures	DSP-RA-002	Decommissioning Employee Concern Program	0
		EC-100	Employee Concern Program	Draft*
		OM-003	Nuclear Safety Culture Monitoring Report	02/25/2025
		OM-003	Nuclear Safety Culture Monitoring	12/12/2024
		PI-001	Corrective Action Program	0
		PI-002	Causal Analysis Process	0
		PI-003	Self-Assessment and Benchmark Process	0
		PI-004	Trending and Performance Review Process	0
		PI-007	Management Review Committee Process	0
		RA-102	Corrective Action Program	0
		WI-MA-350	Spent Fuel Pool Crane L-3 Periodic Inspection	0
	Self-Assessments	PAL-02097	Biennial Evaluation of the Corrective Action Program	05/23/2025
		PAL-04837	Pre-Startup Self-Assessment	01/10/2025